SPECIAL ISSUES ON VALUATION

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From valuation mechanics to economic judgement

One relevant question about valuation mechanics

When does a formally correct valuation become economically wrong?

Focus 1 · VALUE, EARNINGS AND RISK

- Value configurations and acquisition value
- EBITDA quality and multiple dispersion
- Size, control and comparability adjustments
- Competitive advantage and terminal value

Focus 2 · INDUSTRY, DEALS AND JUDGEMENT

- Dynamic industry analysis
- Buy-and-build and strategic vulnerability
- Valuation gaps and deal design
- Uncertainty, scenarios and defensibility

IN PRACTICE Before modelling, classify each judgement as cash flow, risk, multiple or deal structure.

Price and value answer different questions

VALUE

- A conditional estimate based on a defined perspective
- Changes with the valuation premise and available synergies
- Requires a coherent income, growth and risk profile

PRICE

- An observed outcome of negotiation
- Reflects bargaining power, financing and execution constraints
- Can lie above or below either party’s value

A deal can create value for both parties even when they disagree on “the” value.

A ladder of value configurations



Intrinsic value

Standalone fundamentals

Market participant value

Market assumptions

Investment value

Buyer-specific synergies

Transaction price

Negotiated outcome

IN PRACTICE Build a bridge that identifies who can capture each increment of value.

Acquisition value belongs to the buyer

Acquisition value = value of the buyer after the deal – value of the buyer before the deal

VALUE CREATION TEST

Acquisition value > Price paid

- Synergies matter only if the buyer can capture them
- Integration costs and execution risk reduce acquisition value
- The target can be excellent and the deal can still destroy value

Investment bankers should reconcile the valuation bridge with the deal thesis.

Control premiums often double count value

DEFENSIBLE APPROACH

- Start from the cash flows available to the controlling owner
- Model operating improvements and financing effects explicitly
- Separate control benefits from buyer-specific synergies

COMMON ERROR

- Apply a market premium mechanically to a control-level DCF
- Treat the premium as a universal percentage
- Add a premium after using comparables that already reflect control

IN PRACTICE Translate control rights into cash-flow or risk effects and test for double counting.

EBITDA is useful because it excludes information

WHAT EBITDA CAPTURES

- Revenue less cash operating costs
- Operating efficiency before asset consumption
- A common denominator for peer comparison

WHAT EBITDA OMITS

- Working capital absorption and capex
- Taxes and financing costs
- Capital intensity and accounting for asset consumption

Comparability rises when detail disappears. Valuation risk rises for the same reason.

IN PRACTICE Bridge EBITDA to cash flow, capex, taxes and debt before using the multiple.

Even same EBITDA and net income do not imply equal value

INCOME STATEMENT	ALPHA	BETA
EBITDA	**5,000**	**5,000**
Depreciation and amortisation	(1,500)	(1,700)
Financial charges	(600)	(300)
Taxes	(400)	(500)
Net income	**2,500**	**2,500**

The headline earnings measures are identical. The economic differences appear below EBITDA and outside net income.

Cash conversion separates Alpha from Beta

OPERATING CASH FLOW	ALPHA	BETA
EBITDA	**5,000**	**5,000**
Change in net working capital	(800)	(400)
Capital expenditure	(1,300)	(1,000)
Taxes	(400)	(500)
Operating cash flow	**2,500**	**3,100**

Beta converts 62% of EBITDA into operating cash flow versus 50% for Alpha.

IN PRACTICE Calculate cash conversion before selecting peers or adjusting a multiple.

Cash conversion and leverage explain different multiples

Assume both companies are valued at 10× operating cash flow.

VALUATION BRIDGE	ALPHA	BETA
Enterprise value	25,000	31,000
Implied EV / EBITDA	**5.0×**	**6.2×**
Debt	6,000	3,000
Equity value	19,000	28,000
Implied P / E	**7.6×**	**11.2×**

A multiple is the result of cash generation and risk. It is not an input chosen before the economic analysis.

Small-company risk needs diagnosis

ECONOMIC SOURCES

- Customer, supplier and key-person concentration
- Limited financing flexibility and weaker systems
- Greater sensitivity to single events

VALUATION RESPONSES

- Adjust forecasts when the risk changes expected cash flows
- Adjust the discount rate only for non-diversifiable systematic exposure
- Use scenarios when events create asymmetric outcomes

A mechanical size premium can hide risk already captured elsewhere.

Competitive advantage sets the forecast horizon

Value does not increase because the business plan becomes longer.

NORMAL RETURN

Compensation for capital employed

EXCESS RETURN

Return generated by strategic assets

FADE PERIOD

Time until competition erodes the advantage



Today

Explicit forecast

Steady state

Terminal value starts when economics stabilise, not when Excel runs out of columns.

IN PRACTICE End the explicit forecast when the economics reach a sustainable steady state.

Strategic assets require maintenance

BRAND AND CUSTOMER TRUST	Commercial investment, service quality and consistency
TECHNOLOGY AND KNOW-HOW	R&D, talent retention and learning
DISTRIBUTION ACCESS	Partner economics and channel productivity
OPERATING ROUTINES	Systems, training and coordination capacity

Maintenance capex includes investments that accounting may classify as operating expense.

Terminal value needs an economic steady state

FADING ADVANTAGE

- Returns move toward the cost of capital
- Terminal value may converge toward invested capital
- Forecast the run-off of excess returns explicitly

RENEWABLE ADVANTAGE

- Returns remain above the cost of capital
- Terminal cash flow must include renewal investment
- Evidence must support the effectiveness of reinvestment

IN PRACTICE Test whether terminal returns fade to the cost of capital or require renewal investment.

Focus 1 synthesis

DISCUSSION

- Which value configuration answers the assignment?
- What does EBITDA hide in this business?
- Which risks belong in cash flows, scenarios or the discount rate?
- How long can the company earn excess returns?

If these questions remain unanswered, the model is not ready for an investment committee.

Industry analysis must explain future economics

STATIC DESCRIPTION

- Market size, growth and concentration
- Current competitors and market shares
- Historical margins

DYNAMIC ANALYSIS

- Likely strategic moves and countermoves
- Drivers of consolidation, integration or globalisation
- The target’s capacity to gain, defend or lose position

IN PRACTICE Convert each industry observation into a revenue, margin, reinvestment or risk assumption.

Three questions for fundamental industry analysis

1

Will the sector consolidate?

Scale economies, access to capital, standardisation and acquisition capacity

2

Will the value chain reconfigure?

Vertical integration, disintermediation and bargaining power

3

Where will profit pools migrate?

Customer needs, technology and scarce capabilities

A fragmented sector can carry hidden strategic risk

Fragmentation today does not imply fragmentation tomorrow.

Many local firms

Low apparent rivalry

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Funded platform

Acquisition capacity

›

Add-on wave

Scale and talent capture

›

New leader

Margin pressure on stand-alone firms

Historical stability may be the weakest evidence in a changing competitive structure.

IN PRACTICE Rebuild the peer set and downside case when consolidation changes the industry structure.

Buy-and-build creates value through a platform and add-ons

VALUE CREATION MECHANISMS

- Acquire a platform, then add smaller businesses in the same or adjacent market
- Create operating gains through scale, shared systems and stronger management
- Potential multiple uplift is credible only if integration improves the combined business

FAILURE MODES

- Platform overpayment and weak add-on discipline
- Integration costs exceed operating synergies
- Leverage reduces strategic flexibility

Analyse returns separately: operating improvement, leverage and entry-to-exit multiple change.

Customer value is the first valuation bridge

Customer problem

What outcome matters?

Willingness to pay

How much value does the customer recognise?

Value capture

Which share becomes revenue and margin?

Enterprise value

How durable and scalable are the cash flows?

Revenue forecasts need an explicit theory of customer value and value capture.

IN PRACTICE

Tie every revenue assumption to customer value, willingness to pay and value capture.

Mini-case: a “cheap” platform acquisition

DISCUSSION

A regional services platform trades at 7× EBITDA. Add-ons trade at 5×.

- The model assumes a 9× exit multiple after five years
- Central costs rise before procurement synergies arrive
- Competitors backed by other funds are bidding for the same targets

INVESTMENT COMMITTEE QUESTIONS

Which part of the return comes from operations, leverage and multiple expansion?
What happens if the platform never earns a strategic premium?

IN PRACTICE Stress-test the exit multiple and the availability and price of add-on acquisitions.

Deal design converts a value gap into an allocation of risk

SELLER PERSPECTIVE

- Values the stand-alone plan and transfer of future upside
- May attach value to identity, continuity or control
- Faces information asymmetry about buyer synergies

BUYER PERSPECTIVE

- Prices integration costs and execution risk
- Values only synergies it expects to capture
- Must preserve an acceptable acquisition return

Deal design combines price, payment timing, financing, governance and contingent terms to decide who bears each uncertainty.

Four deal-design tools address four different uncertainties

TOOL	HOW IT WORKS	WHAT MUST BE NEGOTIATED
Earn-out	Part of price depends on post-closing results	Metric, control of the business and measurement period
Rollover equity	Seller reinvests part of proceeds in the new group	Governance, dilution, liquidity and exit rights
Vendor loan	Seller finances part of the purchase price	Interest, maturity, security, subordination and recovery
Price adjustment	Price updates for debt, cash or working capital at closing	Definitions, accounting consistency and dispute process

IN PRACTICE Match each deal tool to one uncertainty and model its cash-flow and control consequences.

Uncertainty creates false value drivers

REAL DRIVER

- A causal link to future cash flows
- Observable leading indicators
- A credible capacity to adapt or defend economics

FALSE DRIVER

- A metric correlated with past performance only
- A narrative that cannot be falsified
- A generic “resilience” premium without operational evidence

IN PRACTICE Accept a driver only when a causal mechanism and observable indicator support it.

Scenarios separate exposure from response

EXTERNAL STATE	OPERATING RESPONSE	VALUATION EFFECT
Demand shock	Variable cost flexibility	Margin and cash burn
Input disruption	Dual sourcing and inventory	Working capital and service
Regulatory change	Product redesign or exit	Capex, timing and terminal value
Financing stress	Covenant headroom and liquidity	Equity risk and optionality

IN PRACTICE Model the external shock and the company response in separate scenario steps.

A valuation is a reasoned estimate

Credibility comes from the chain of reasoning, not the number of decimal places.

PURPOSE	The assignment determines the relevant value configuration
EVIDENCE	Historical, market and strategic information must reconcile
ASSUMPTIONS	Material judgements remain explicit and testable
LIMITATIONS	Uncertainty and information gaps remain visible

IN PRACTICE Make each material judgement explicit, testable and linked to evidence.

Red-team the valuation

DISCUSSION

Teams receive the same model and attack one assumption each.

Cash flows	Which forecast depends on the weakest causal link?
Multiple	Which peer difference has been ignored?
Terminal value	What competitive advantage survives into perpetuity?
Deal bridge	Who captures the synergies and who bears execution risk?

IN PRACTICE Challenge the weakest assumption and state whether it changes value, price or deal terms.

The investment-banking checklist

01 Define the value configuration before selecting the method

02 Translate EBITDA into cash flow and earnings quality

03 Explain the duration and renewal cost of competitive advantage

04 Model industry change, not only current market structure

05 Use deal terms to allocate uncertainty

06 Make every material judgement visible and defensible

IN PRACTICE Use the checklist before the investment-committee or client-review meeting.